

Private Credit Survey

Spring 2026

**Private-Credit Risks In, But Core Investors
Not Out**



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Key Takeaways

15%

Potential replacement of the traditional fixed income current addressable market

58%

Percent of survey respondents who expect the slowdown in retail wealth flows to resolve with a year or less

5-10%

Expected annual growth of the core private credit market over the next 5 years

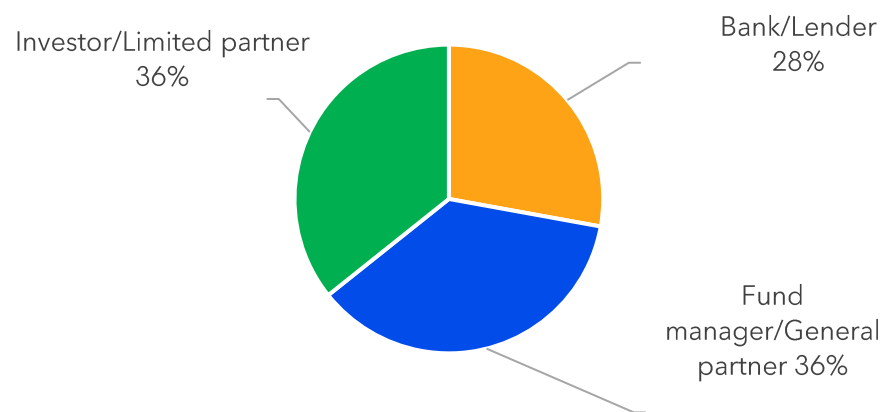
Executive Summary

The noise around private-credit redemption requests and valuation and liquidity concerns is louder than the underlying stress. Institutional investors, managers and bankers remain confident about long-term structural growth in an asset class that appeals to debt-focused managers like Apollo, Ares and Blackstone, Bloomberg Intelligence's spring 2026 survey showed. Respondents see 5-10% annual growth and private credit's ability to replace 15% of public fixed income, including over 20% of asset-backed finance. Still, 30% view credit erosion as the main risk vs. 24% in 2025, and worry that redemption requests at companies including Blue Owl may affect institutional demand. The economy, credit quality and underwriting are key concerns, as two-thirds cite concerns about overstated valuations. Most see defaults reaching 5-8%.

Survey Methodology

Our survey, administered by Guidepoint between April 6-16, asked 140 participants to answer a range of questions about the future of private credit. The survey included a diverse group of financial professionals familiar with the industry, with 36% representing general partners at alternative funds, 36% limited partners and fund investors, and 28% bankers and lenders. Portfolio/investment manager was the most common job title, representing 41% of respondents, followed by lender, debt capital markets, banker (23%), fund allocator (7%) and limited partner (6%). The group was balanced across geographies, with 35% based in Europe, 34% in Asia and 31% in North America.

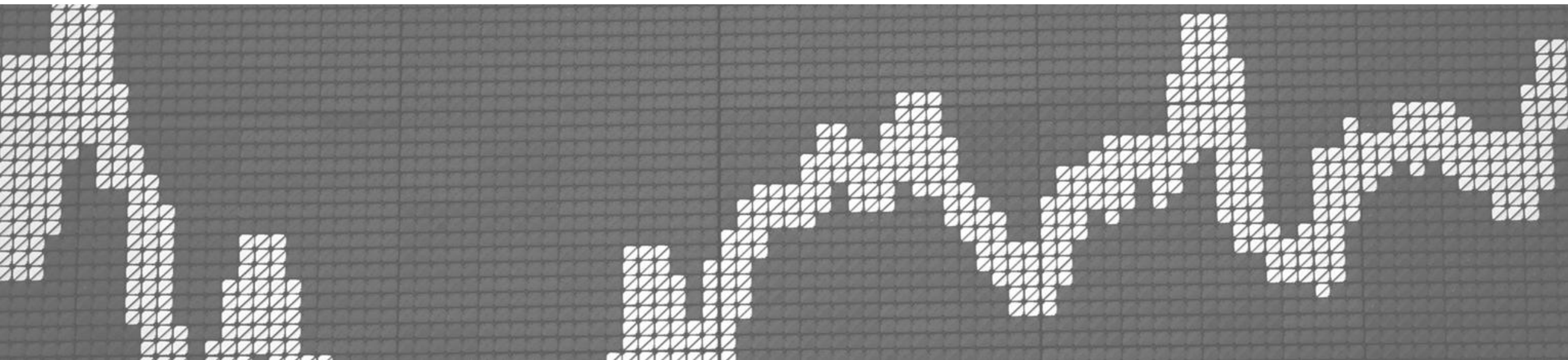
Which of the following best describes where you currently work?



Which of the following best describes your current job title?



Growth

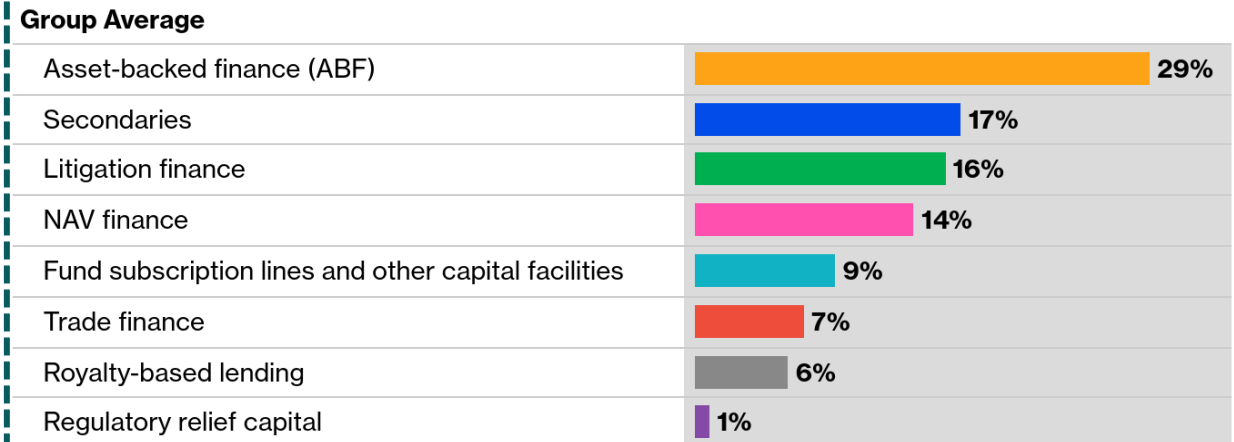
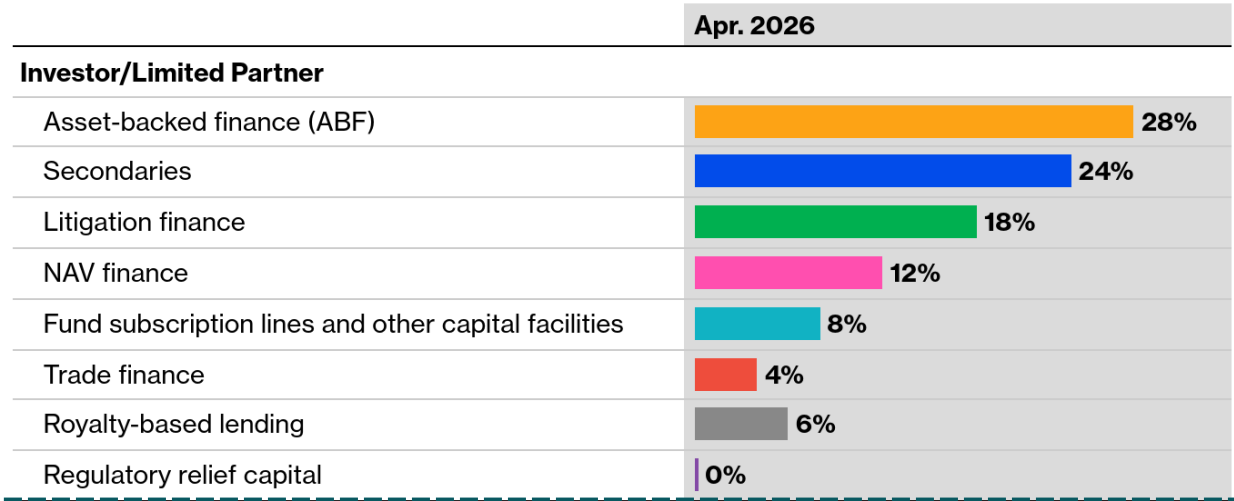
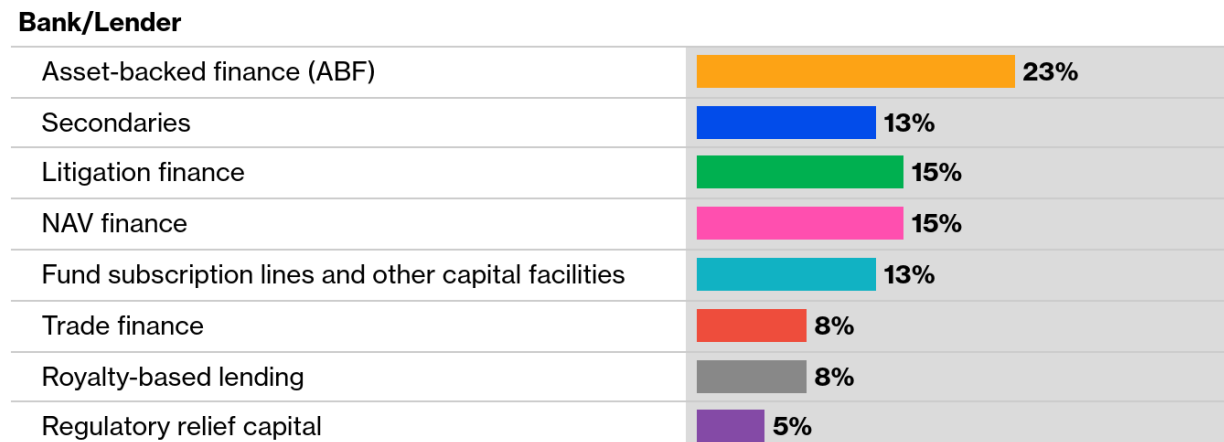
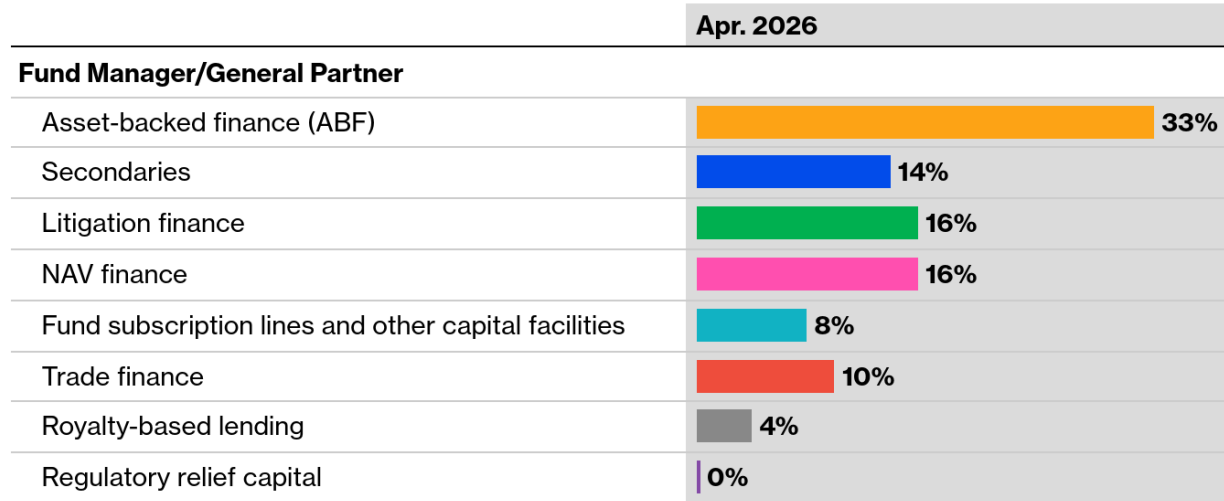


For each of the fixed income segments below, what total share of the current addressable market do you think private credit can capture in the medium-to-long term?

	Apr. 2026	Sept. 2025	Apr. 2025	Sept. 2024		Apr. 2026	Sept. 2025	Apr. 2025	Sept. 2024
US Corporate Investment Grade Bonds					European Bank Balance Sheet Loans				
Fund Manager/General Partner	11.6%	14.0%	8.3%	9.7%	Fund Manager/General Partner	14.9%	14.5%	10.0%	8.3%
Bank/Lender	12.4%	13.3%	8.8%	13.9%	Bank/Lender	14.5%	14.4%	8.8%	10.0%
Investor/Limited Partner	12.4%	13.2%	9.9%	9.0%	Investor/Limited Partner	15.4%	14.1%	11.1%	9.7%
US Corporate High Yield Bonds					Non-Bank Leveraged Loans				
Fund Manager/General Partner	12.5%	14.7%	8.9%	13.1%	Fund Manager/General Partner	15.5%	17.4%	9.8%	10.5%
Bank/Lender	13.2%	15.5%	6.6%	13.6%	Bank/Lender	14.7%	16.8%	9.1%	16.0%
Investor/Limited Partner	12.9%	14.6%	9.3%	14.1%	Investor/Limited Partner	15.6%	15.9%	10.3%	11.6%
Non-US Corporate Bonds					Asset Based Finance				
Fund Manager/General Partner	8.1%	14.2%	8.9%	7.9%	Fund Manager/General Partner	23.6%	15.7%	10.4%	10.4%
Bank/Lender	8.8%	9.4%	9.6%	12.1%	Bank/Lender	22.1%	16.6%	10.1%	16.8%
Investor/Limited Partner	8.8%	13.8%	9.9%	9.3%	Investor/Limited Partner	23.1%	15.8%	10.6%	11.4%
US Bank Balance Sheet Loans									
Fund Manager/General Partner	15.9%	13.6%	8.3%	9.0%					
Bank/Lender	15.0%	17.4%	12.1%	14.2%					
Investor/Limited Partner	14.2%	14.8%	10.4%	10.8%					

Expected public fixed income replacement steady

Which emerging private credit strategy do you expect to present the greatest opportunity?

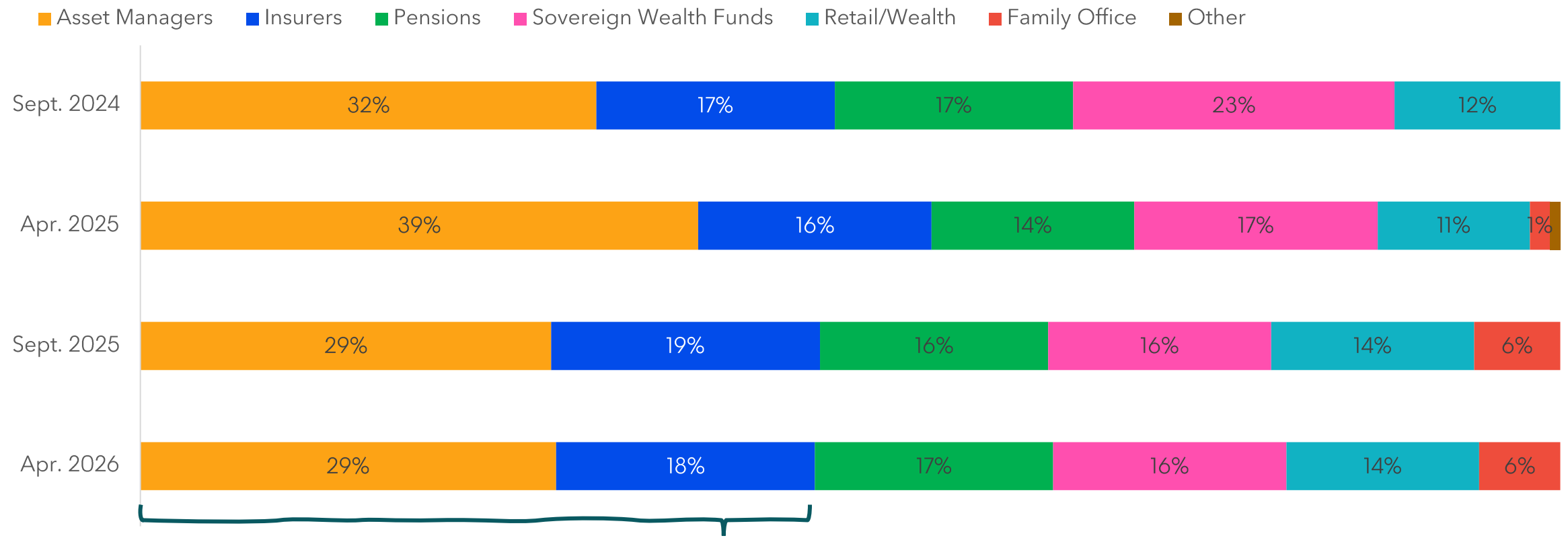


How large can the core private credit market grow in 5 years, from \$1.8 trillion level?

	Apr. 2026	Sept. 2025	Apr. 2025	Sept. 2024	Group Average			
Fund Manager/General Partner								
0-5 Percent Annual Growth	37%	42%	42%	12%	43%	44%	42%	15%
5-10 Percent Annual Growth	51%	44%	46%	48%	47%	46%	51%	42%
10-15 Percent Annual Growth	8%	10%	10%	38%	6%	8%	6%	36%
>15 Percent Annual Growth	4%	4%	2%	2%	4%	3%	1%	6%
Bank/Lender								
0-5 Percent Annual Growth	54%	38%	43%	21%				
5-10 Percent Annual Growth	36%	55%	53%	40%				
10-15 Percent Annual Growth	8%	3%	5%	31%				
>15 Percent Annual Growth	3%	5%	0%	7%				
Investor/Limited Partner								
0-5 Percent Annual Growth	40%	50%	42%	13%				
5-10 Percent Annual Growth	52%	40%	54%	38%				
10-15 Percent Annual Growth	4%	10%	4%	40%				
>15 Percent Annual Growth	4%	0%	0%	9%				

5-10% growth outlook holds for core private credit

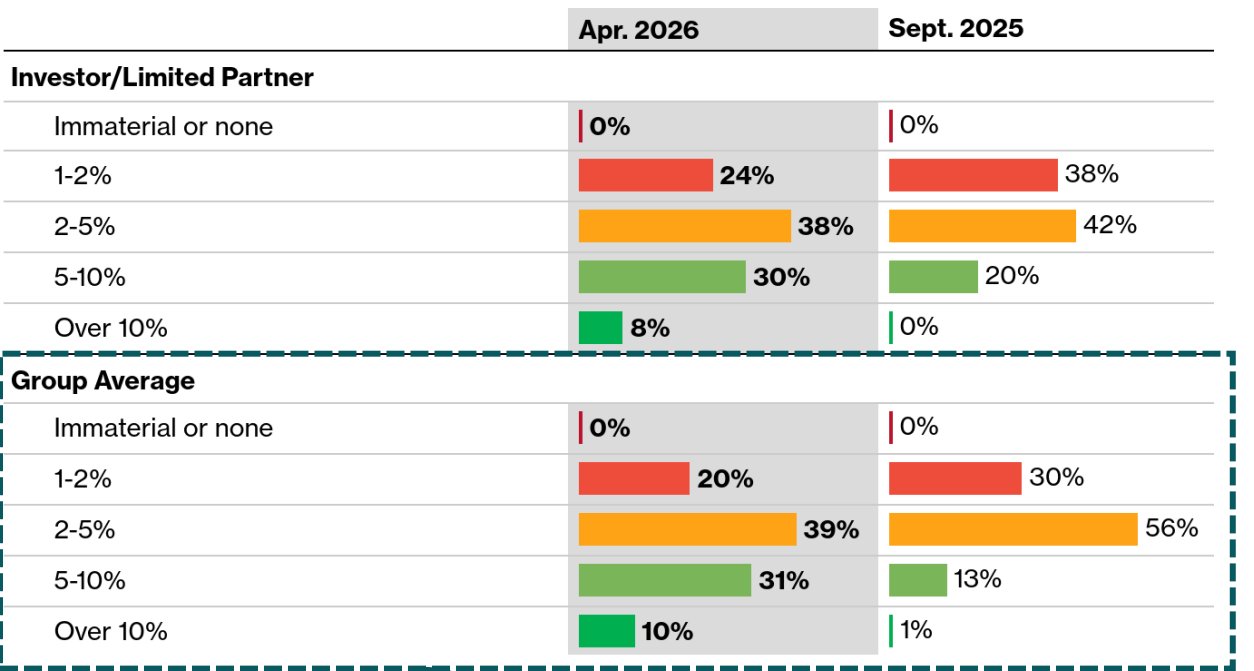
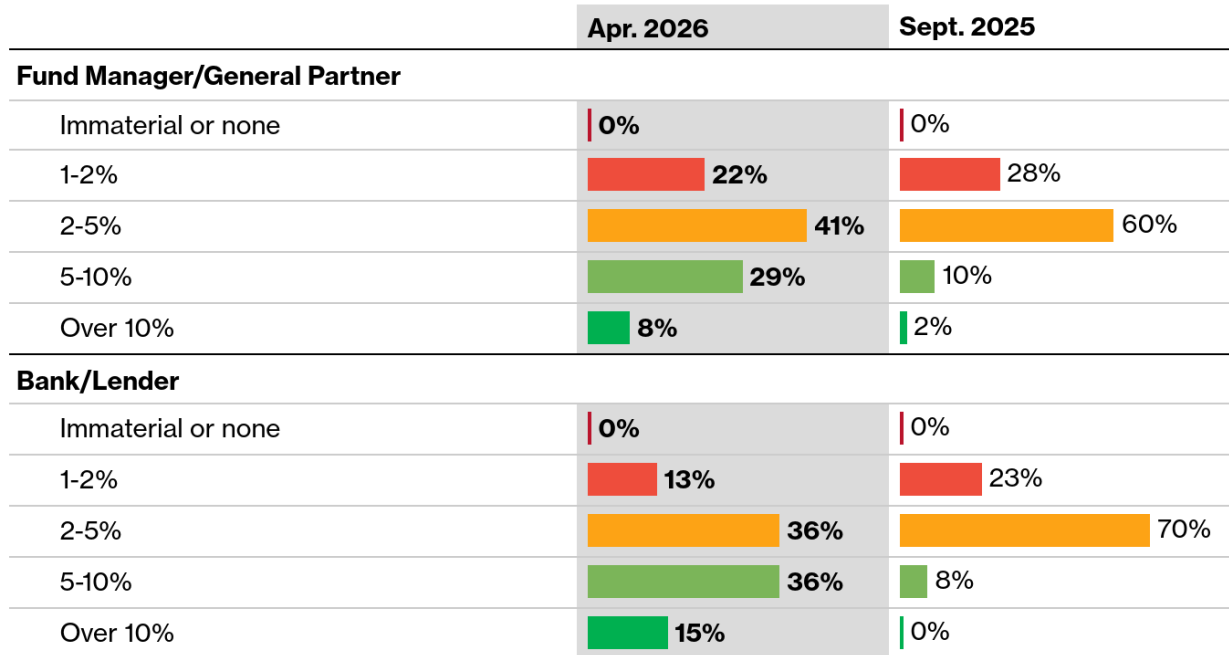
Who will be the biggest allocators of funds to support private credit formation?



Asset managers, insurers are biggest contributors

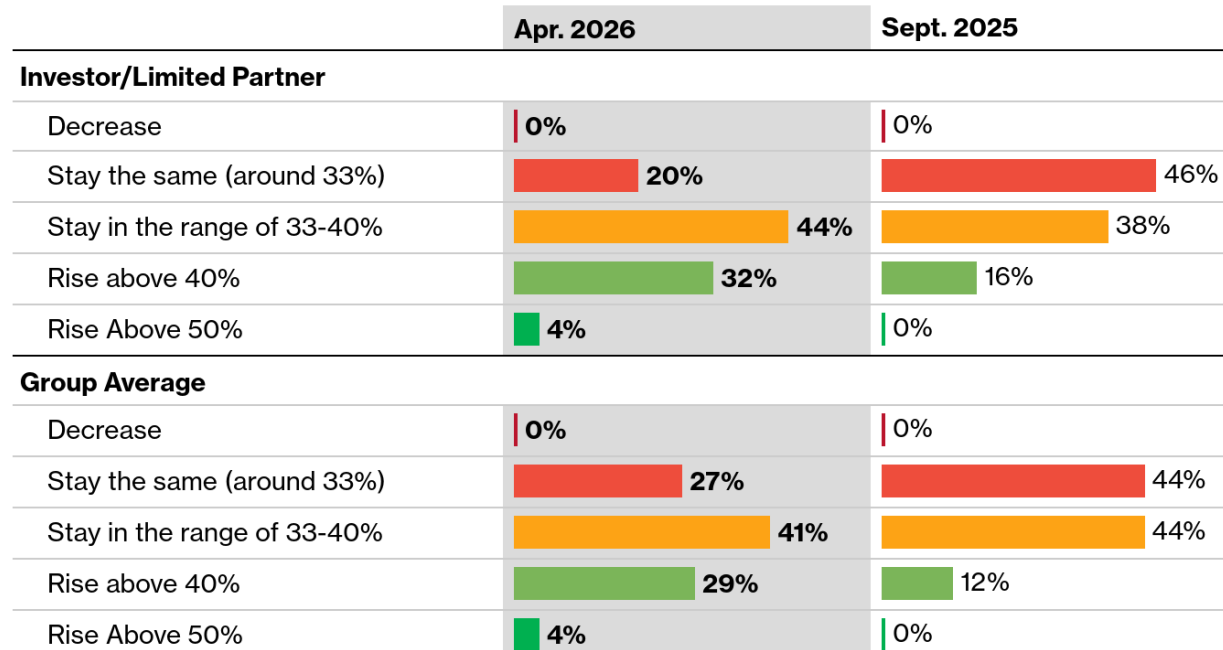
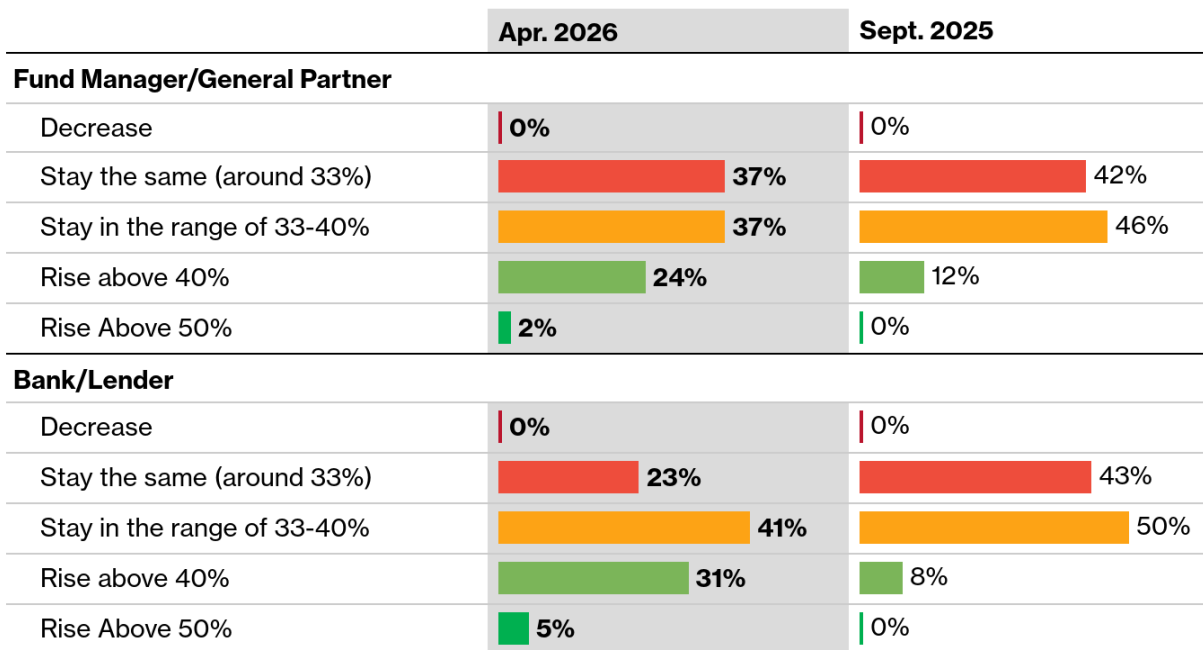
Note: Starting in Sept. 2025, participants were able to select two (2) answers

What total share of the \$12 trillion US defined contribution retirement plans (including 401Ks) can private credit capture over time?

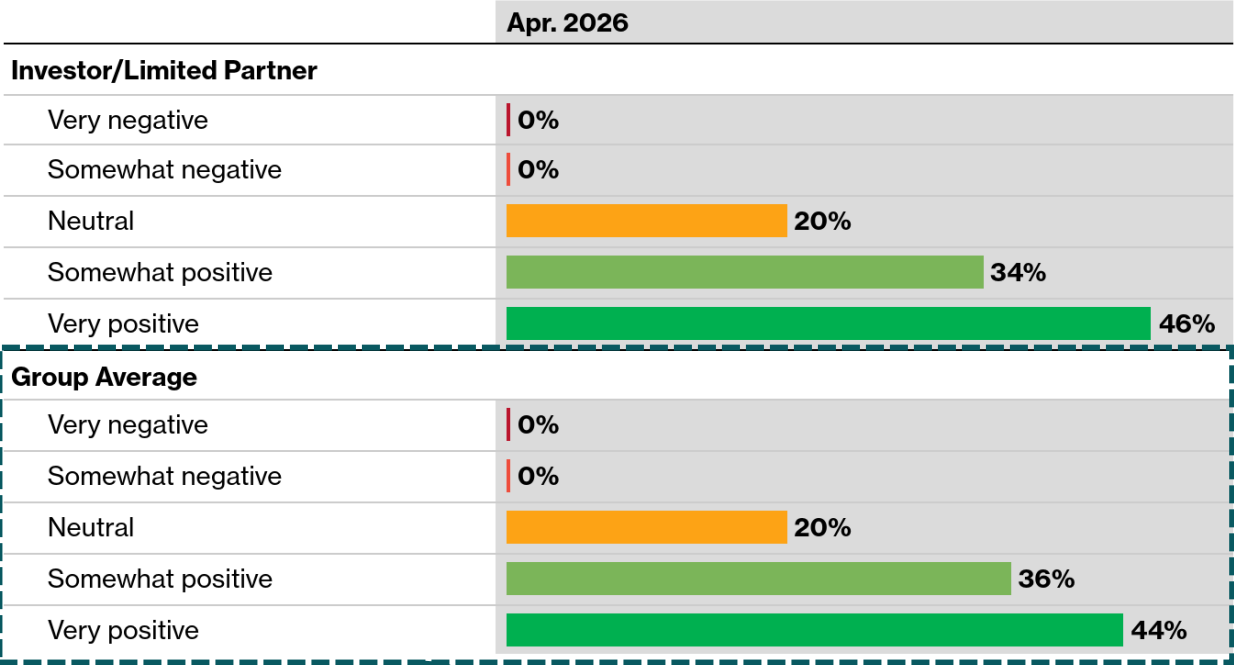
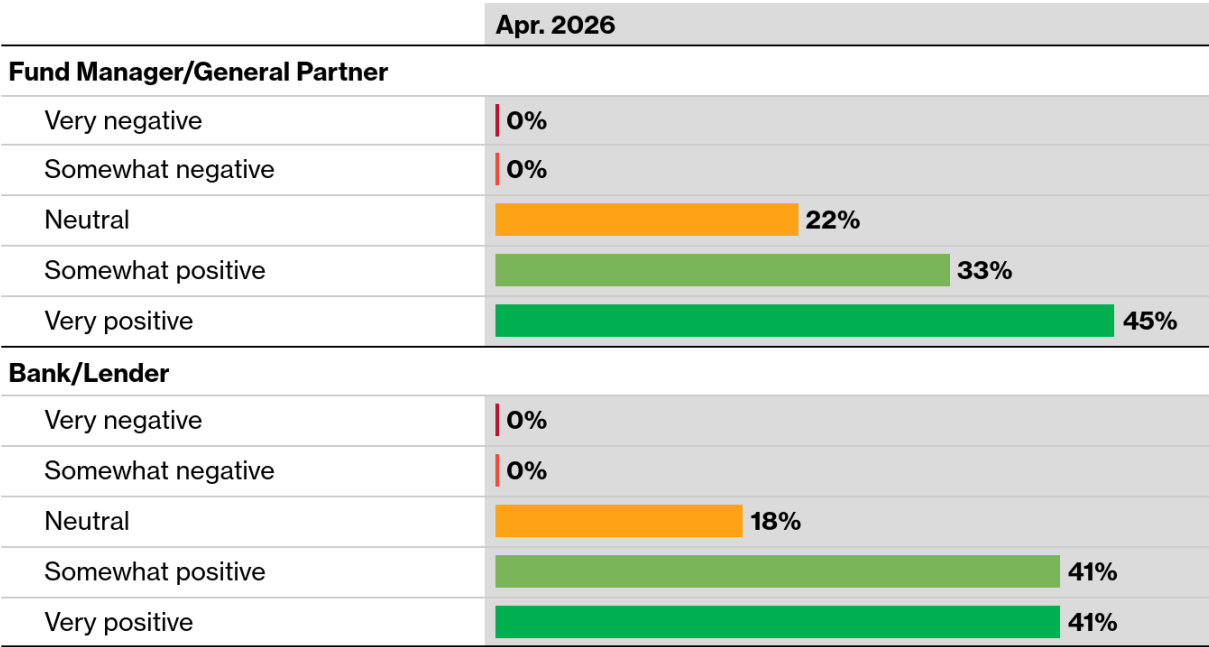


Opportunity in US retirement plans rises, despite retail worries and redemptions

Share of US bank commercial lending to non-bank financial institutions (NBFI) rose to about one-third. Private credit lenders account meaningfully for that expansion. In the next five years, do you think that share of financing of NBFI will...?

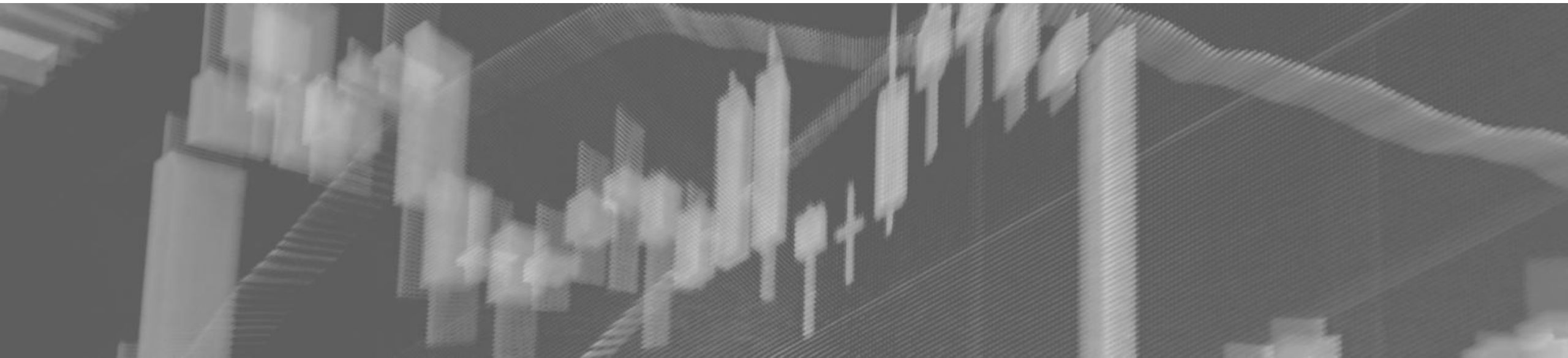


Is AI a net positive for private credit investments?



Positive AI sentiment

Demand



What is your expectation for private credit deployment over the next 12 months vs. prior 12 months?

	Apr. 2026	Sept. 2025	Apr. 2025	Sept. 2024
Fund Manager/General Partner				
Decline Significantly	0%	0%	0%	0%
Decline Modestly	0%	0%	0%	2%
Remain Unchanged	24%	36%	14%	22%
Increase Modestly	65%	36%	64%	54%
Increase Significantly	12%	28%	22%	22%
Bank/Lender				
Decline Significantly	0%	0%	0%	0%
Decline Modestly	3%	0%	0%	7%
Remain Unchanged	26%	25%	15%	10%
Increase Modestly	56%	58%	75%	76%
Increase Significantly	15%	18%	10%	7%

	Apr. 2026	Sept. 2025	Apr. 2025	Sept. 2024
Investor/Limited Partner				
Decline Significantly	0%	0%	0%	0%
Decline Modestly	0%	4%	0%	7%
Remain Unchanged	38%	28%	12%	13%
Increase Modestly	42%	42%	72%	56%
Increase Significantly	20%	26%	16%	24%
Group Average				
Decline Significantly	0%	0%	0%	0%
Decline Modestly	1%	1%	0%	5%
Remain Unchanged	29%	30%	14%	15%
Increase Modestly	54%	44%	70%	61%
Increase Significantly	16%	24%	16%	18%

About 77% of fund managers and 71% of lenders expect deployment to increase over the next year

How much of a spread premium do you expect for a private vs. broadly syndicated loan transaction over the next twelve months?

	Apr. 2026	Sept. 2025	Apr. 2025	Sept. 2024
Fund Manager/General Partner				
Less than 100bps	0%	0%	0%	0%
100 bps	37%	38%	54%	12%
200 bps	45%	34%	38%	56%
300 bps	16%	26%	8%	28%
More than 300 bps	2%	2%	0%	4%
Bank/Lender				
Less than 100bps	0%	0%	3%	12%
100 bps	31%	25%	63%	24%
200 bps	41%	55%	23%	38%
300 bps	28%	18%	10%	17%
More than 300 bps	0%	3%	3%	10%

	Apr. 2026	Sept. 2025	Apr. 2025	Sept. 2024
Investor/Limited Partner				
Less than 100bps	0%	0%	6%	2%
100 bps	20%	20%	50%	22%
200 bps	56%	50%	40%	36%
300 bps	18%	16%	4%	33%
More than 300 bps	6%	14%	0%	7%
Group Average				
Less than 100bps	0%	0%	3%	4%
100 bps	29%	28%	55%	19%
200 bps	48%	46%	34%	44%
300 bps	20%	20%	7%	26%
More than 300 bps	3%	6%	1%	7%

Spread premium is 100-200 bps

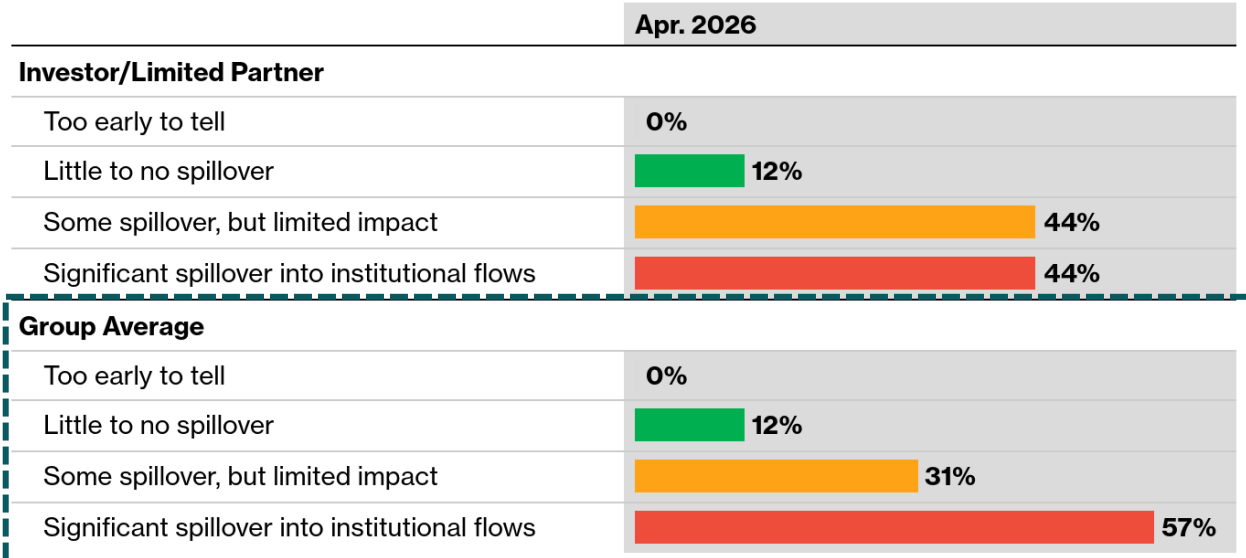
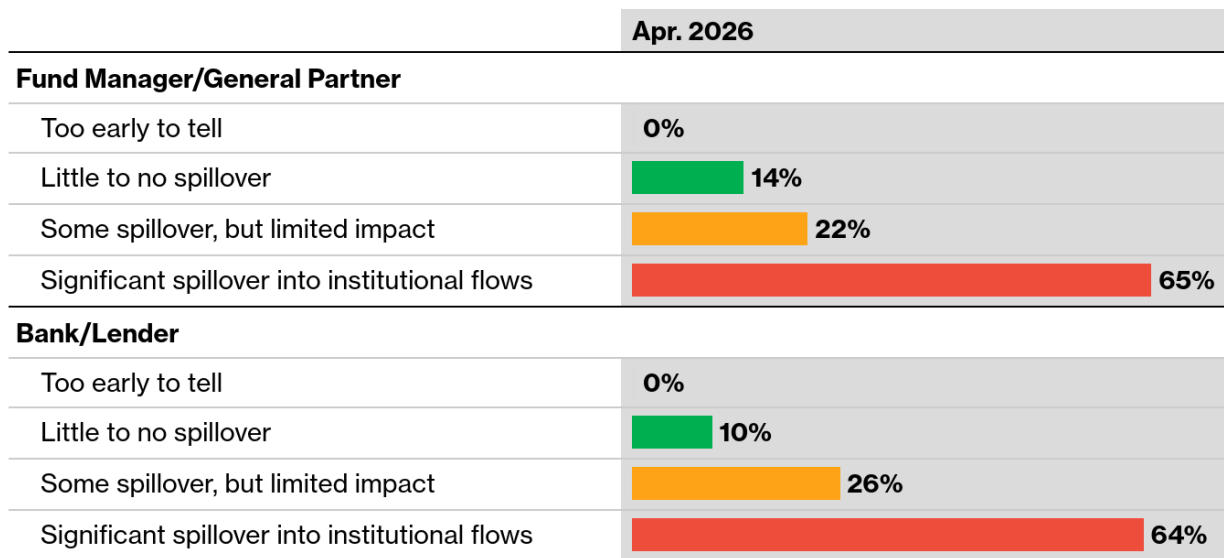
What are your expectations for private credit management fees over the next 5 years?

	Apr. 2026	Sept. 2025	Apr. 2025	Sept. 2024
Fund Manager/General Partner				
Decline Significantly	0%	0%	0%	0%
Decline Modestly	0%	8%	14%	28%
Remain Unchanged	25%	18%	8%	52%
Increase Modestly	63%	52%	52%	14%
Increase Significantly	12%	22%	26%	6%
Bank/Lender				
Decline Significantly	0%	0%	0%	2%
Decline Modestly	0%	0%	15%	14%
Remain Unchanged	13%	15%	10%	33%
Increase Modestly	67%	73%	63%	45%
Increase Significantly	21%	13%	13%	5%

	Apr. 2026	Sept. 2025	Apr. 2025	Sept. 2024
Investor/Limited Partner				
Decline Significantly	0%	0%	4%	4%
Decline Modestly	0%	2%	20%	27%
Remain Unchanged	16%	16%	16%	47%
Increase Modestly	68%	56%	48%	18%
Increase Significantly	16%	26%	12%	4%
Group Average				
Decline Significantly	0%	0%	1%	2%
Decline Modestly	0%	4%	16%	23%
Remain Unchanged	19%	16%	11%	45%
Increase Modestly	66%	59%	54%	25%
Increase Significantly	16%	21%	17%	5%

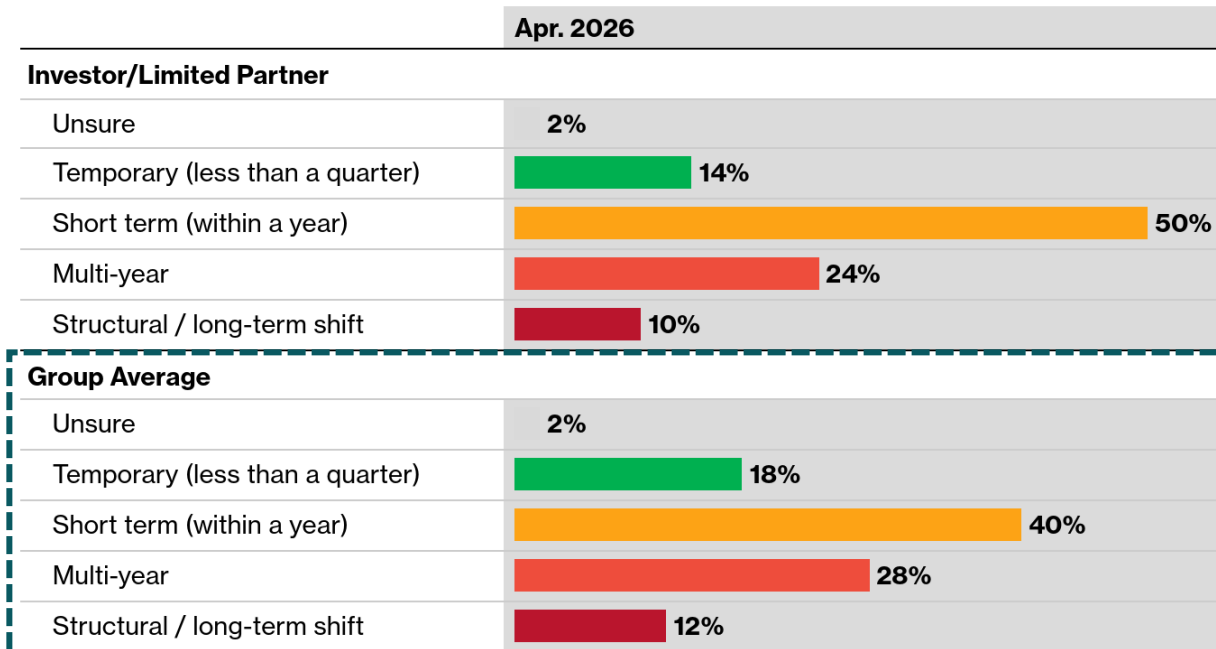
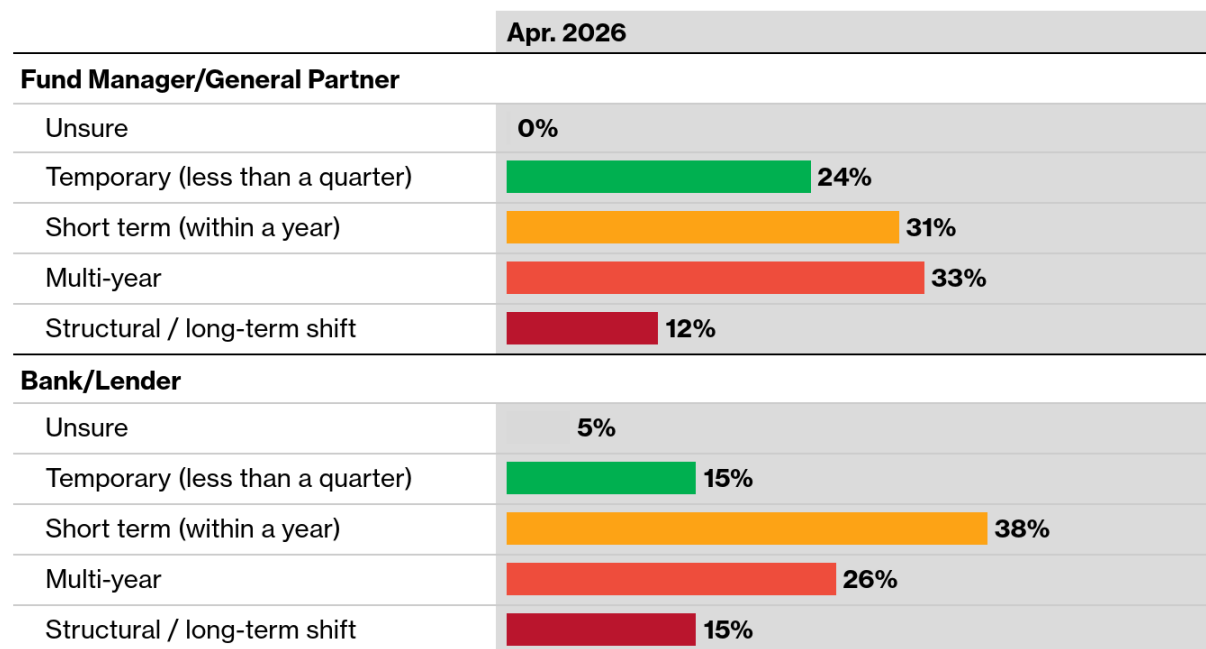
Fee growth expectations are moderating

To what extent do you think negative headlines and retail/wealth outflows in private credit could spill over into institutional allocations?



Large institutional investors are less worried about spillover effect than survey respondents

How durable do you believe the current slowdown in retail/wealth flows into private credit will be?



Flow slowdown may be temporary

Risks



What do you think is the biggest risk to growth in private credit market currently?

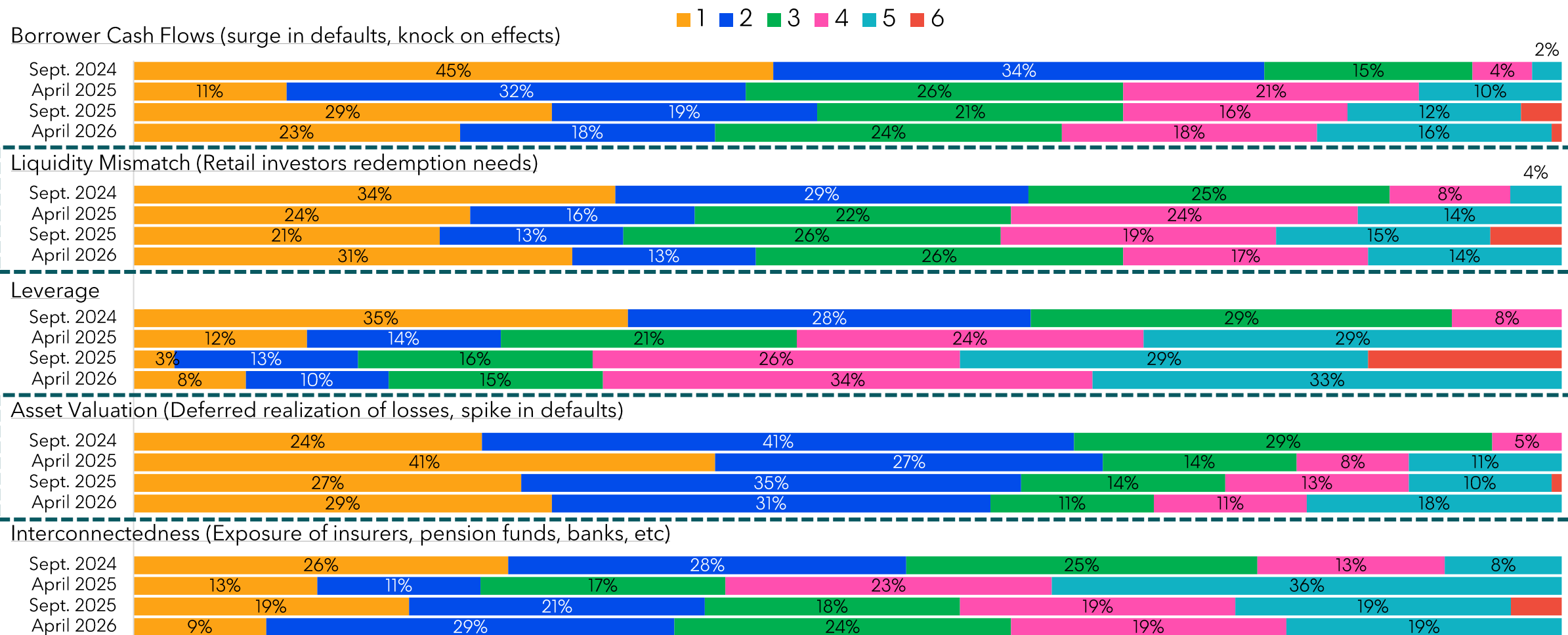
	Apr. 2026	Sept. 2025	Apr. 2025	Sept. 2024
Fund Manager/General Partner				
Credit quality deterioration	41%	20%	20%	46%
Macroeconomic/Rate Instability	24%	26%	34%	—
Erosion of Underwriting Discipline	14%	6%	12%	—
Stricter regulations	14%	34%	12%	32%
Market Perception	6%	—	—	—
Bank competition for loans	2%	14%	22%	14%
Bank/Lender				
Credit quality deterioration	23%	28%	15%	40%
Macroeconomic/Rate Instability	15%	50%	55%	—
Erosion of Underwriting Discipline	26%	0%	0%	—
Stricter regulations	28%	20%	20%	33%
Market Perception	5%	—	—	—
Bank competition for loans	3%	3%	10%	19%

Note: "Market Perception" was not an answer choice prior to Apr. 2026.
"Macroeconomic/Rate Instability" and "Erosion of Underwriting Discipline"
were not answer choices in Sept. 2024.

	Apr. 2026	Sept. 2025	Apr. 2025	Sept. 2024
Investor/Limited Partner				
Credit quality deterioration	24%	26%	24%	42%
Macroeconomic/Rate Instability	34%	30%	24%	—
Erosion of Underwriting Discipline	20%	0%	0%	—
Stricter regulations	10%	30%	28%	22%
Market Perception	12%	—	—	—
Bank competition for loans	0%	14%	24%	29%
Group Average				
Credit quality deterioration	30%	24%	20%	43%
Macroeconomic/Rate Instability	25%	34%	36%	—
Erosion of Underwriting Discipline	19%	2%	4%	—
Stricter regulations	16%	29%	20%	29%
Market Perception	8%	—	—	—
Bank competition for loans	1%	11%	19%	20%

Credit quality emerges as top concern

Please rank these factors of IMF-identified private credit risks to the financial system in order of potential impact with 1 being the most impact.



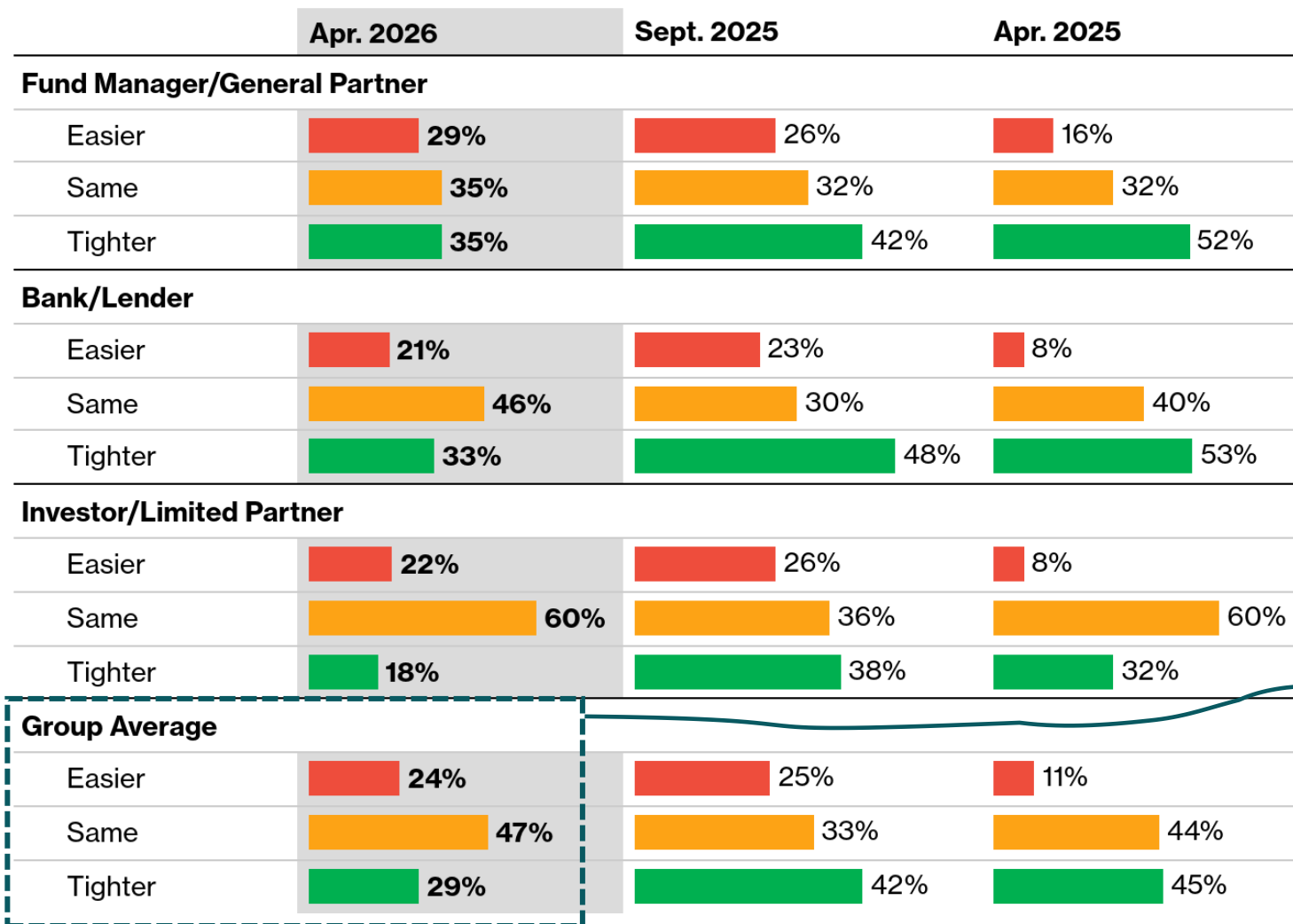
What is most important indicator you are monitoring that might signal building credit stress?

	Apr. 2026	Sept. 2025	Apr. 2025
Fund Manager/General Partner			
Markdowns	41%	30%	30%
Non-Accruals	25%	28%	24%
Realized Losses	20%	20%	26%
PIK	8%	10%	0%
Restructurings/Extensions	6%	12%	20%
Bank/Lender			
Markdowns	28%	35%	30%
Non-Accruals	18%	25%	25%
Realized Losses	31%	23%	30%
PIK	13%	13%	3%
Restructurings/Extensions	10%	5%	13%

	Apr. 2026	Sept. 2025	Apr. 2025
Investor/Limited Partner			
Markdowns	38%	38%	40%
Non-Accruals	26%	20%	24%
Realized Losses	22%	30%	18%
PIK	12%	4%	2%
Restructurings/Extensions	2%	8%	16%
Group Average			
Markdowns	36%	34%	34%
Non-Accruals	24%	24%	24%
Realized Losses	24%	24%	24%
PIK	11%	9%	1%
Restructurings/Extensions	6%	9%	16%

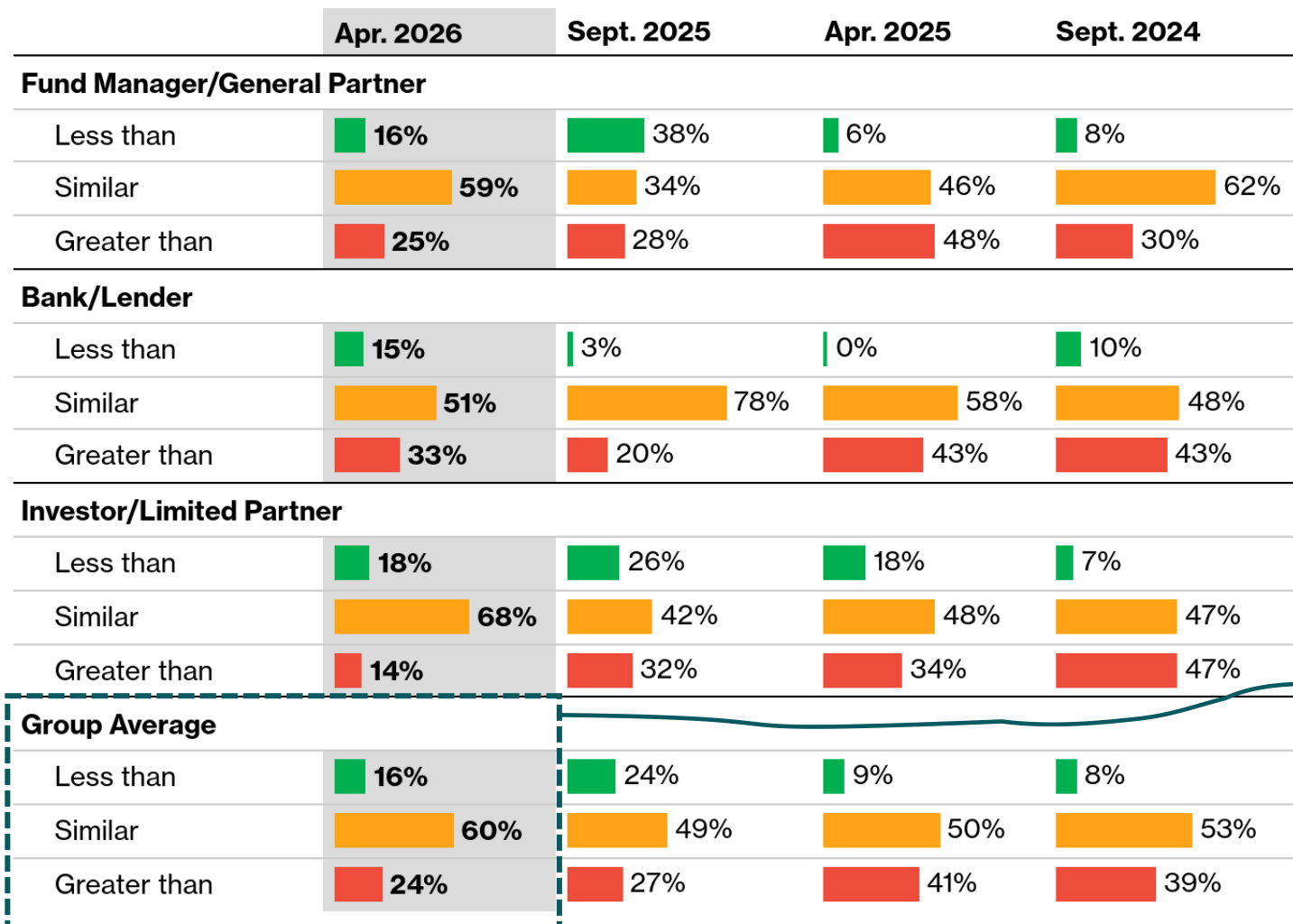
Markdowns, nonaccruals first signs of stress

How do you perceive current private credit underwriting standards have changed over the prior 12 months?



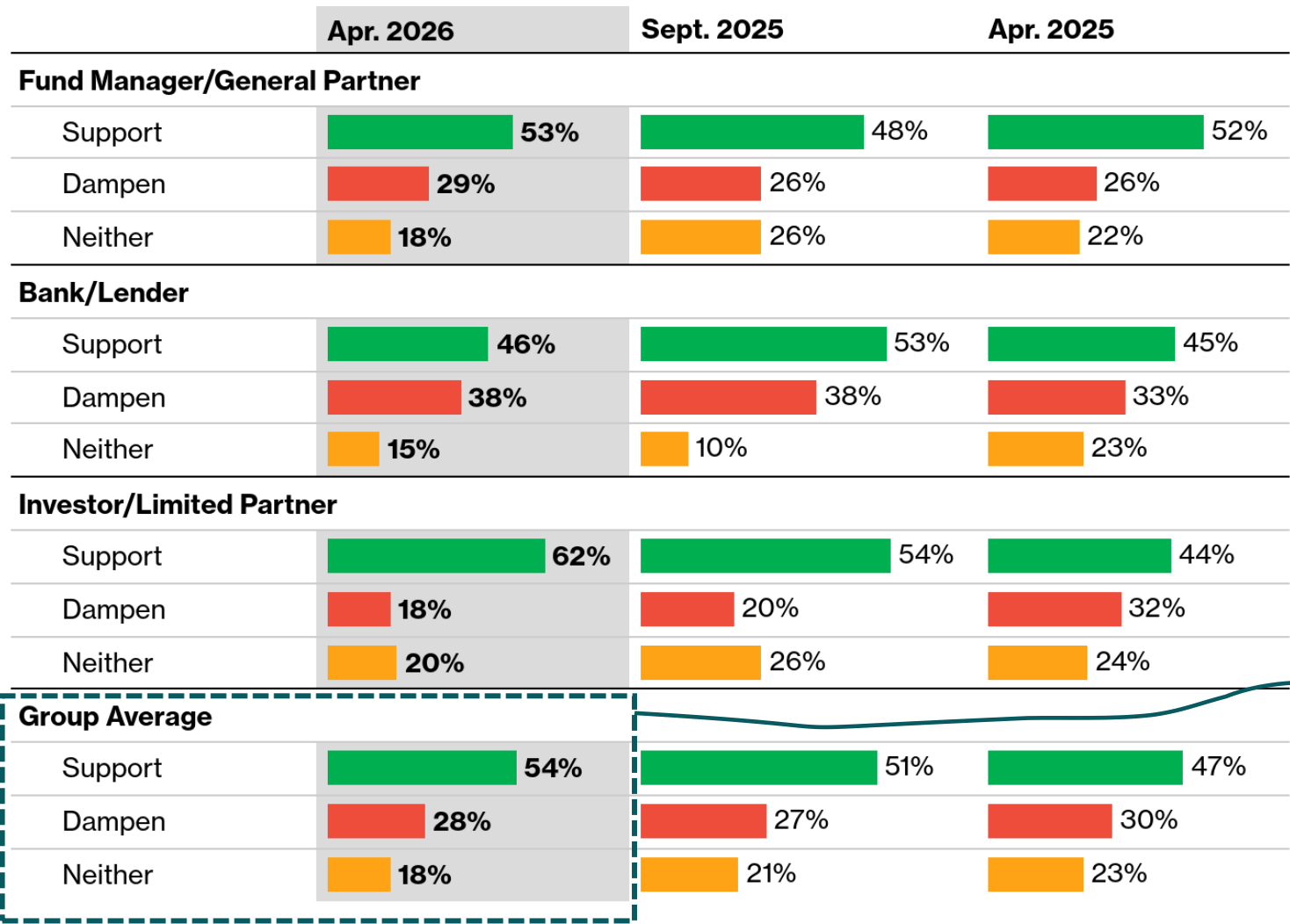
Underwriting may be moving tighter, but a turning point might be on the horizon

In an economic downturn, how do you anticipate private credit losses will compare to broadly syndicated loan losses?



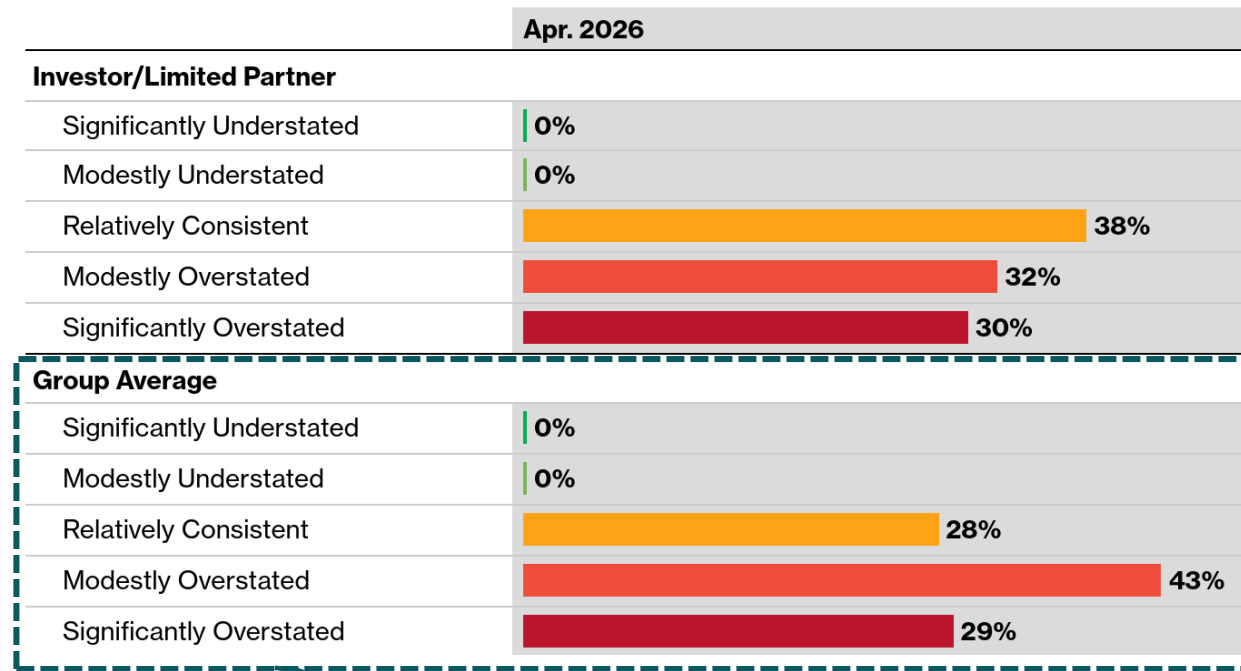
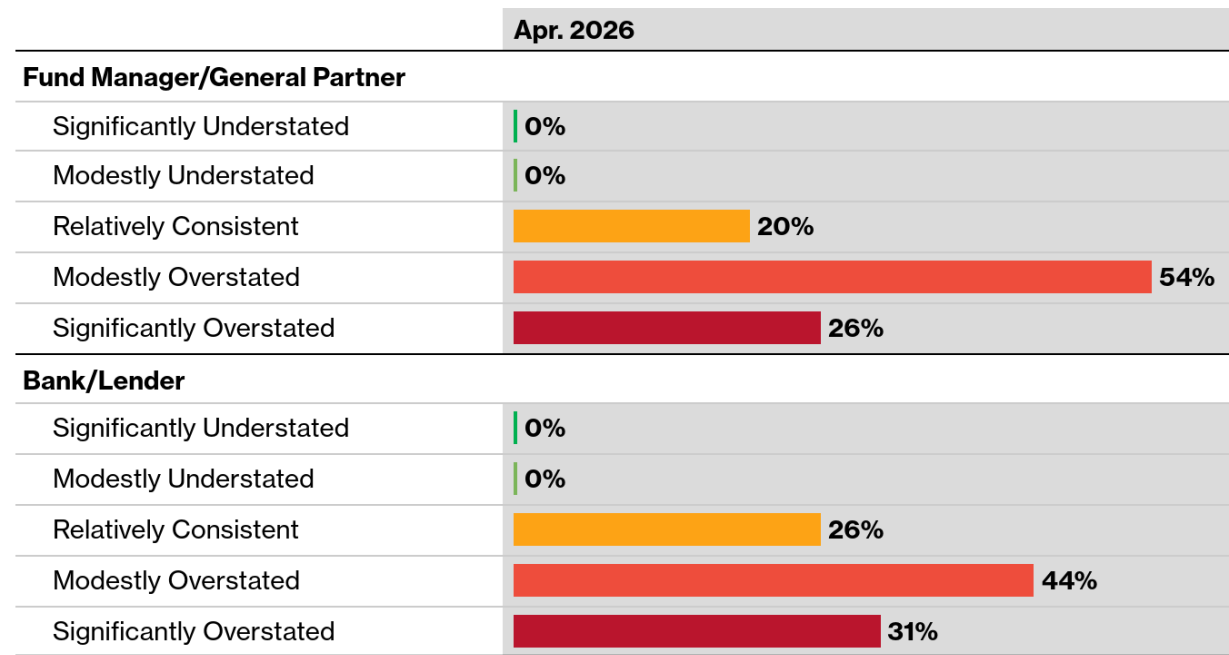
*Loss optimism in a
downturn a touch dimmer*

Do you anticipate new regulation will support or dampen private credit growth in the next five years?



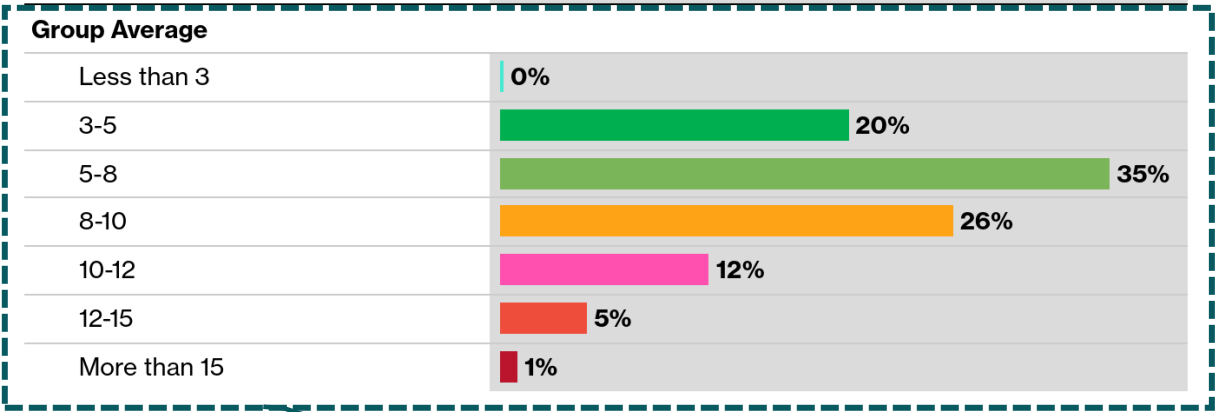
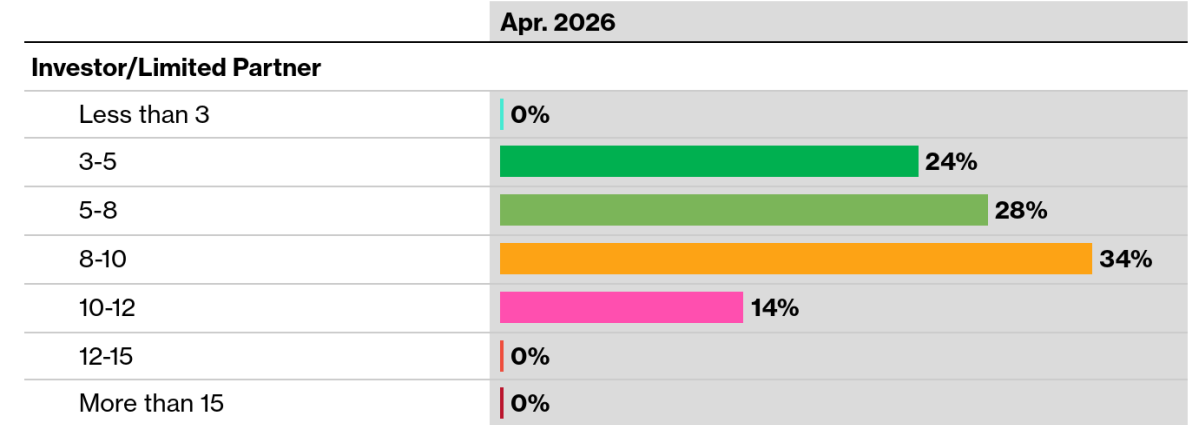
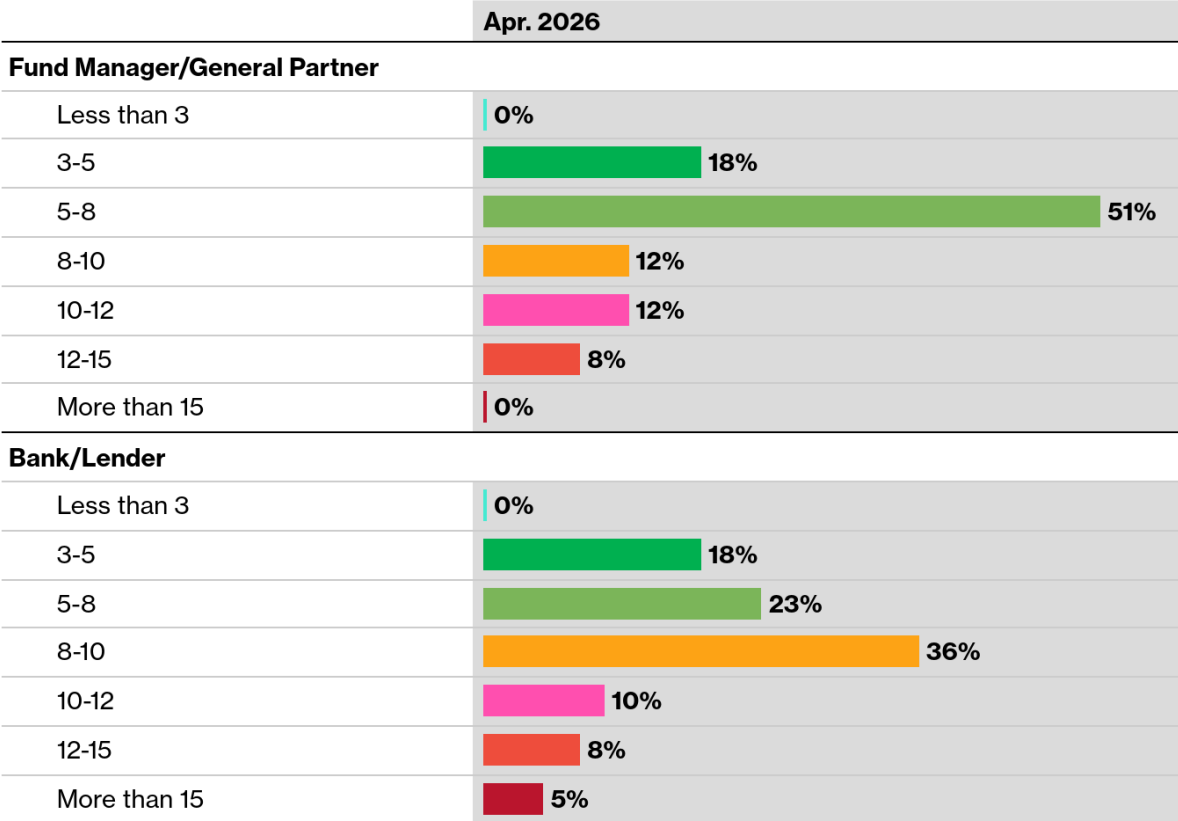
*Incremental new regulation
can be a positive*

To what extent do you believe current private credit valuation marks differ from underlying economic value?



Private credit marks under scrutiny

The long term average default rate on leveraged loans is ~3%. Assuming reasonable portfolio diversification, how high do you think private credit portfolio default rates could get in the event of serious economic dislocation or a recession?



Most see defaults potentially reaching 5-8% in an economic downturn

n = 140

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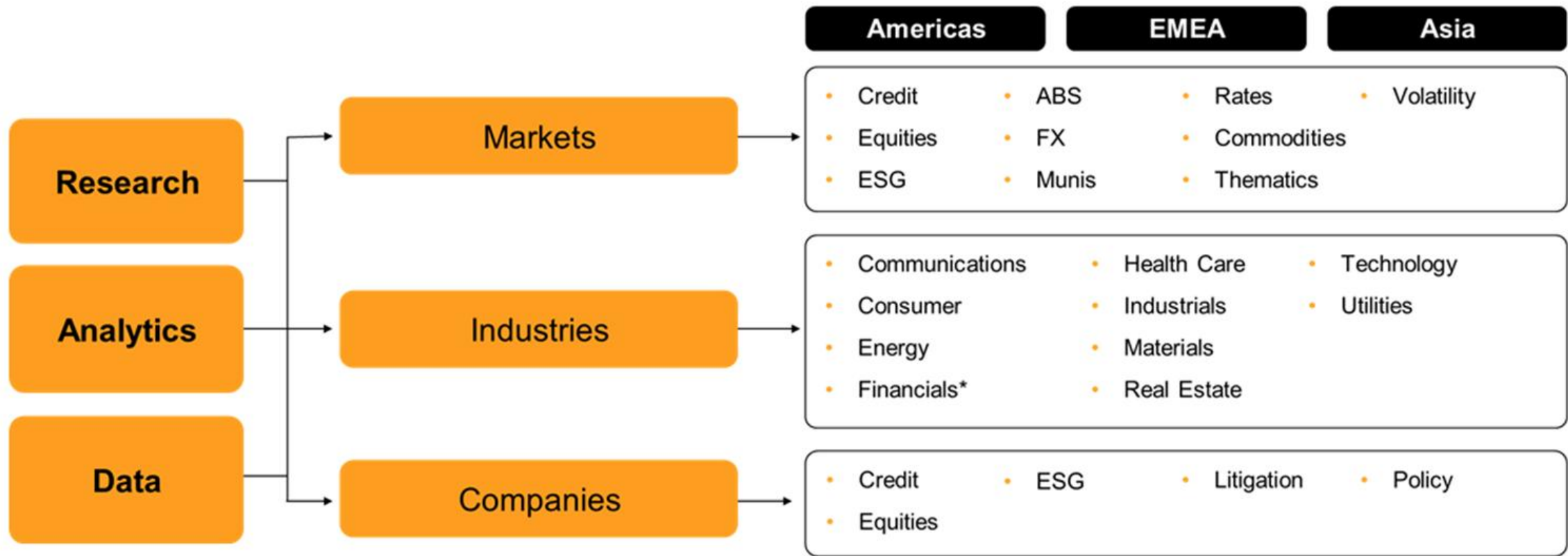
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data providers

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